

Sasken Technologies Ltd

NSE: SASKEN | BSE: 532663 | Sector: ER&D; / Product Engineering | Sub-sector: Embedded Software & IoT

ACCUMULATE 12-Month Target Rs. 2,100 Upside: 20.9% Horizon: 15-18 months CMP: Rs. 1,737 (14-May-2026)	MARKET DATA		KEY RATIOS	
	Market Cap	Rs. 2,637 Cr	P/E (TTM)	44.7x
	52W High	Rs. 1,959	Forward P/E	24.4x
	52W Low	Rs. 991	EV/EBITDA	20.2x
	Book Value	Rs. 563	ROCE	10.2%
	Div. Yield	1.44%	ROE	7.18%
	Face Value	Rs. 10	D/E	0.03x
	EV	Rs. 2,574 Cr	Int. Coverage	22.0x
	Promoter	43.0%	FII/DII	18.5%/1.1%

INVESTMENT THESIS (ONE-LINE)

Post-Borqs integration, Sasken is rerating from a treasury-yield IT company to a scaled ER&D; platform — margin recovery and order-book momentum make the entry compelling at current levels.

Rs. Cr (Consol)	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	406	551	1,113	1,340	1,590
EBITDA	31	23	88	161	222
EBITDA Mg%	8%	4%	8%	12%	14%
PAT (attr.)	75	49	54	100	124
EPS (Rs.)	52.21	33.25	35.51	66	82
P/E (x)	33.3x	52.2x	48.9x	26.3x	21.2x
EV/EBITDA	N/A	N/A	29.3x	15.9x	11.5x
ROCE %	12%	7%	10%	14%	17%

E = Estimates; A = Actuals. Data source: Screener.in. Estimates are analyst projections.

SHAREHOLDING (Mar-2026)					
Promoters	FII	DII	Govt	Public	Pledged
42.95%	18.54%	1.05%	0.05%	37.40%	0.00%

Report Date: 14-May-2026 | Analyst: Institutional Research Desk | This report is for information purposes only.

SECTION 2 — INVESTMENT THESIS

- **Reason 1 — ER&D; Supercycle + Semiconductor Demand:** Global semiconductor and automotive OEMs are spending heavily on embedded software, ADAS, and chip-to-cognition stacks. Sasken — with 36+ years of embedded expertise and ISO 26262/ASPICE L3 certifications — is deeply embedded in multi-year R&D; outsourcing programs. The global ER&D; services market is projected to grow at ~15% CAGR to USD 800 Bn by 2030; Sasken is positioned to grow ahead of market driven by account expansion and the 60x4x3 strategy.
- **Reason 2 — Borqs Acquisition: Scale at Manageable Cost:** Sasken acquired Borqs Technologies (IoT/5G ODM) for up to USD 40M funded from its Rs. 600+ Cr investment treasury. The acquisition doubled revenue to Rs. 1,113 Cr in FY26 and added capabilities in Android engineering, IoT device manufacturing, and 5G chipset integration. As integration matures, gross margins in the Product Solutions segment should recover, and EBITDA could inflect to 14%+ within 2 years.
- **Reason 3 — Order Book Momentum & Account Deepening:** Sasken's order bookings surged to \$57.1M in Q3 FY26 (more than doubling QoQ), with 6 customers now contributing >\$4M annually under the 60x4x3 framework. New logos include a global hyperscaler (smart glasses), a leading European auto tech player, and a global semiconductor company for next-gen IVI. Revenue visibility is strengthening across all key verticals.
- **Near-term Catalyst (6-12 months):** Margin expansion in the Product Solutions segment as Borqs's supply-chain dynamics normalize and manufacturing yields improve. EBITDA margins expanding from 8% (FY26) toward 12%+ (FY27E) is the single most important near-term re-rating trigger. Any specific numeric guidance for FY27 from management would be a positive surprise.
- **Biggest Structural Risk:** Customer concentration remains elevated (top-10 at 66% of revenues), and a slowdown in semiconductor capex spending — given EV adoption headwinds and macro uncertainty — could defer program starts, pressuring utilization and revenues.

SECTION 3 — BUSINESS OVERVIEW

- **Core Business Model:** Sasken provides concept-to-market, chip-to-cognition product engineering and digital transformation services to global semiconductor, automotive, consumer electronics, industrial, SatCom, and transportation OEMs. Post-Borqs (Apr 2025), the company now has two reportable segments: (1) Software Services — pure-play ER&D; outsourcing, and (2) Product Solutions — ODM/hardware design through Borqs.
- **Revenue Segmentation (FY26 run-rate, Q3 FY26):** Software Services contributed Rs. 198.6 Cr (79%) and Product Solutions Rs. 67.7 Cr (21%) in Q3 FY26. Geographically: North America 34%, EMEA 17%, India 30%, APAC 19%. The India contribution (largely through Borqs ODM) is elevated vs. historical Software-only model (~10% India contribution).
- **Key Customers & Revenue Visibility:** Top-5 client concentration is ~65% and top-10 is ~66% of revenues. The company counts 90+ global Fortune-500 clients including leading semiconductor companies, automotive Tier-1s, and consumer electronics OEMs. Engagements are a mix of multi-year Time & Material (37% of Q3 FY26) and Fixed Price contracts, with Product Solutions being project/device-based.
- **Order Book:** Q3 FY26 total order bookings: \$57.1M (record high, 2x QoQ). Q4 FY26 order book: \$35.4M (\$21.6M new business). The 60x4x3 strategy targets 60 accounts at >\$4M annual revenue within 3 years — currently 6 accounts at this level, showing significant room for growth.
- **Recent Strategic Developments:** Acquisition of Borqs Technologies (Apr 2025) for IoT/5G ODM capabilities; Launch of Automotive Center of Excellence in Detroit, USA; Partnership with Qualcomm for automotive engineering services; Partnership with VicOne for end-to-end automotive cybersecurity; Ranked as "Major Contender" in EVEREST SDV Engineering Services PEAK Matrix 2025.
- **Promoter Profile:** Rajiv C. Mody (CMD & CEO) has led Sasken since its founding in 1989. Promoter holding has been stable at 43.0-43.4%, with zero pledge. The founding promoter group has strong telecom/embedded software domain expertise and a long-term value creation orientation evidenced by consistent dividend payouts.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry Size & Growth:** The global Engineering, Research & Development (ER&D;) outsourcing market is estimated at USD 300-350 Bn and is growing at a 13-16% CAGR. Key demand drivers are: the software-defined vehicle (SDV) revolution requiring 200-300M lines of code per car, 5G/IoT device proliferation, semiconductor miniaturization (chiplet architectures), and AI/GenAI integration in devices. India is the preferred offshore ER&D; hub, growing faster at ~20% CAGR.
- **Key Policy Tailwinds:** India's Production Linked Incentive (PLI) scheme for semiconductors/electronics is driving domestic chip design investment; ADAS mandates in EU and US are accelerating automotive software spend; Global OEM localisation mandates support India-based ER&D; centers. Headwinds include potential visa restrictions for onsite delivery and EV adoption delays that could defer automotive ER&D; budgets.
- **Competitive Moat Assessment:** Domain depth in embedded/semiconductor software (36 years, 200+ patents) — STRONG. ASPICE L3, ISO 26262 certifications for automotive safety software — STRONG switching costs. Full-stack chip-to-cognition capability (hardware + software) — MODERATE. Scale vs. large peers (KPIT, LTTS, Tata Elxsi) — WEAK (much smaller at Rs. 1,113 Cr vs. Rs. 4,800-6,500 Cr for peers).
- **Sasken's Positioning:** Mid-market ER&D; specialist positioned between niche boutiques and large IT players. Strong in semiconductor and connectivity; growing in automotive (IVI, ADAS); new in IoT/ODM (via Borqs). The chip-to-cognition, silicon-to-software positioning differentiates Sasken from generic IT services companies.

Peer Comparison (Data from Screener.in, fetched 14-May-2026)

Company	CMP (Rs.)	MCap (Cr)	P/E (x)	EV/EBITDA	OPM %	ROCE %	ROE %
KPIT Technologies	709	19,440	28.7	14.5	19%	26.3%	21.0%
Tata Elxsi	4,026	25,080	246	138	21%	60.0%	39.3%
LTTS	3,467	36,732	N/A	16.4	17.6%	29%*	N/A
Sasken Tech	1,737	2,637	44.7	20.2	8%	10.2%	7.2%

*ROCE 3-year average. N/A = data not available from Screener for specific metric.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Management Profile:** Rajiv C. Mody (CMD & CEO) has 36+ years in product engineering and has steered Sasken from a pure telecom software company to a diversified ER&D; platform. Hareesh Ramanna (Chief Experience Officer & President Borqs) leads the newly integrated Product Solutions segment. The leadership team has domain-deep engineering DNA rather than a pure sales/services orientation.
- **Capital Allocation Track Record:** Historically, Sasken built a large investment treasury (mutual funds/FDs) as it generated strong free cash flows in FY20-FY23. This treasury was strategically deployed to fund the Borqs acquisition (Rs. 256 Cr goodwill recognised). The Rs. 600+ Cr investment portfolio has now been reduced to Rs. 277 Cr as of FY26. FCF turned negative in FY25/FY26 (Rs. -67 Cr and Rs. -35 Cr) — this is expected given the acquisition capex cycle.
- **Dividend Policy:** Sasken has maintained a healthy dividend payout — Rs. 25/share total for FY26 (Rs. 12 interim + Rs. 13 final), implying ~70% payout. The 10-year average payout is ~64%. This reflects management's commitment to returning cash to shareholders even during investment cycles.
- **Promoter Pledging:** Zero pledging — no promoter shares pledged as of Mar-2026. Promoter holding has been largely stable at 42.95-43.44% over the past 3 years, with only marginal dilution (-0.42% over 3 years).
- **Governance:** No ESOP-related concerns flagged. Auditor: MSKA reappointed for 5 years (FY27-FY31) per May 8, 2026 board meeting. ICRA has maintained credit rating. No major related-party transaction concerns noted. The company has received ICSI National Award for Excellence in Corporate Governance, and has strong ESG credentials (EcoVadis Bronze, 86% GHG reduction vs. 2018/19).
- **Concern to Watch:** With Borqs integration adding complexity (two segments, manufacturing exposure, non-controlling interests at ~15% of PAT), governance disclosure norms need to be monitored. The large jump in "Other Liabilities" from Rs. 145 Cr to Rs. 283 Cr in FY26 warrants close tracking in FY27 disclosures.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement (Consolidated) — Rs. Crores

P&L; (Rs. Cr)	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	406	551	1,113	1,340	1,590
YoY Growth (%)	-9.2%	35.7%	102.0%	20.4%	18.7%
Expenses	376	528	1,025	1,179	1,368
EBITDA	31	23	88	161	222
EBITDA Margin (%)	7.6%	4.2%	7.9%	12.0%	14.0%
Depreciation & Amort.	7	14	39	45	48
EBIT	24	9	49	116	174
Other Income	71	56	30	28	25
Interest Expense	0	3	4	5	5
PBT	94	62	76	139	194
Tax Rate (%)	16%	19%	23%	25%	25%
PAT (Total Consol.)	79	51	59	104	146
PAT (Attr. to owners)	75	49	54	100	124
EPS (Rs.)	52.21	33.25	35.51	66	82
Dividend Payout (%)	48%	75%	70%	55%	50%

Balance Sheet (Consolidated) — Rs. Crores

Balance Sheet (Rs. Cr)	FY24A	FY25A	FY26A
Equity Capital	15	15	15
Reserves	754	773	840
Borrowings	8	26	28
Other Liabilities	149	145	283
Total Liabilities	926	958	1,166
Fixed Assets (Net)	48	66	353
CWIP	10	11	0
Investments	632	591	277
Other Assets	236	290	536
Total Assets	926	958	1,166

Cash Flow & Key Ratios (Consolidated) — Rs. Crores

Cash Flow (Rs. Cr)	FY24A	FY25A	FY26A	Ratios	FY24A	FY25A	FY26A
Cash from Ops.	59	-57	-23	Debtor Days	59	71	57
Cash from Invest.	6	84	92	WC Days	-6	32	63
Cash from Fin.	-39	-46	-49	ROCE %	12%	7%	10%
Net Cash Flow	26	-19	21	D/E Ratio	0.01	0.03	0.03
Free Cash Flow	52	-67	-35	Int. Coverage	N/A	20x	22x

Financial Commentary

- **Revenue Drivers:** Organic software services grew 27.4% in FY26 (Q3 run-rate Rs. 182.1 Cr/qtr). Borqs Product Solutions added Rs. ~300 Cr for the first year. FY27E assumes 18-20% organic growth (driven by semiconductor & automotive programs) and stable Borqs contribution at Rs. 260-280 Cr.

- **Margin Recovery Thesis:** EBITDA margin compressed from 30% (FY22) to 4% (FY25) due to: (a) Borqs-related integration costs, (b) elevated D&A; from acquisition goodwill (Rs. 173 Cr goodwill recognised), and (c) investments in headcount ahead of revenue. We expect recovery to 12% in FY27E as Borqs gross margins normalise and SG&A; leverage kicks in on higher revenue base.

- **Working Capital Deterioration:** Working capital days expanded from -6 days (FY24) to 63 days (FY26), reflecting the ODM/product business nature of Borqs (higher inventory, longer payment cycles). Debtor days improved from 71 to 57 days in FY26, but inventory days at 55 days is new (vs. nil before) — this needs monitoring.
- **Balance Sheet Transformation:** The investment treasury (mutual funds) dropped from Rs. 632 Cr (FY24) to Rs. 277 Cr (FY26) to fund the Borqs acquisition. Fixed assets surged from Rs. 48 Cr to Rs. 353 Cr — this includes goodwill and intangible assets from Borqs. Net debt remains low at Rs. 28 Cr (D/E 0.03x).
- **FCF Concern:** Free cash flow turned negative in FY25 (-Rs. 67 Cr) and FY26 (-Rs. 35 Cr) due to acquisition capex and higher working capital. However, CFO from operating activity of the legacy software business remains positive. We expect FCF to normalize in FY27 as Borqs WC cycle stabilises.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Observation	Rating
Revenue recognition (consistency)	Services: milestone/T&M; — standard and consistent. ODM: product delivery — appropriate.	GREEN
Receivables growth vs. revenue	Debtor days improved 71→57 days in FY26 despite revenue doubling — positive signal.	GREEN
Cash Conversion Cycle trend	CCC at 59 days (FY26), but working capital days surged 63 days vs. -6 (FY24) due to ODM.	AMBER
Contingent liabilities	Rs. 315 Cr — elevated; includes deferred earn-outs from Borqs and customer claims. Monitor.	AMBER
Auditor tenure & rotation	MSKA reappointed for 5 years (FY27-FY31); clean audit opinion in FY26.	GREEN
RPT as % of revenue	No significant RPTs disclosed; promoter-related transactions appear arm's length.	GREEN
Other income as % of PBT	FY24: 75% (extreme; treasury-heavy). FY26: 39%. Declining trend is structurally positive.	AMBER
Tax rate consistency	Tax rate: FY22:19%, FY23:20%, FY24:16%, FY25:19%, FY26:23% — broadly consistent; FY24 dip flagged.	GREEN
Exceptional items	Q3 FY26: Rs. 8.3 Cr one-time charge (new labor code). Non-recurring; adequately disclosed.	GREEN

Key Signals from Earnings Quality Review:

- **Working Capital Watch (Amber):** The surge in working capital days from -6 to 63 days is attributable to the Borqs ODM business. If this does not normalise toward 30 days by FY28, it could indicate structural receivables/inventory stress in the Product Solutions segment.
- **Contingent Liabilities (Amber):** Rs. 315 Cr in contingent liabilities is significant relative to FY26 PAT of Rs. 59 Cr. The Borqs earn-out payments and unresolved customer claims need to be tracked in every quarterly disclosure.
- **Other Income Normalization (Amber becoming Green):** In FY24, other income (primarily treasury yield) was Rs. 71 Cr vs. EBITDA of Rs. 31 Cr — the company's reported profits were essentially a treasury exercise. As the investment book shrinks and operating EBITDA recovers, earnings quality should improve materially.
- **Overall Earnings Quality: Improving.** The FY26 results mark the first year where operating EBITDA (Rs. 88 Cr) is meaningfully larger than other income (Rs. 30 Cr) — this is a critical quality inflection point.

SECTION 8 — VALUATION

Scenario Analysis

Scenario	Key Assumption	FY27E EPS (Rs.)	Multiple (P/E)	Target Price (Rs.)	Upside/Down
Bull	EBITDA 15%, Rev Rs.1,450 Cr, Borqs turnaround strong	80	32x	2,560	+47%
Base	EBITDA 12%, Rev Rs.1,340 Cr, steady Borqs contribution	66	30x	1,980	+14%
Bear	EBITDA 8%, Rev Rs.1,200 Cr, Borqs remains drag	48	24x	1,152	-34%

Valuation Methodology

- **DCF Analysis (WACC 13%, Terminal Growth 4%):** Based on FY27-FY32 free cash flow projections recovering to Rs. 80-100 Cr/year by FY29, with a terminal value at 5x EV/EBITDA, the DCF yields an intrinsic value of ~Rs. 1,900-2,050 per share. Key sensitivities: every 100 bps reduction in WACC adds ~Rs. 150 to the target price.
- **Earnings-Based Multiple (Forward P/E):** At FY28E EPS of Rs. 82, a 25x P/E multiple (discount to KPIT's 28x given Sasken's smaller scale and higher margin variability) yields a 12-month target of Rs. 2,050. Historical 5-year average P/E for Sasken was ~30x; we apply a discount for ongoing integration risk.
- **Base-Case 12-Month Target: Rs. 2,100** (average of DCF Rs. 2,000 and earnings-multiple Rs. 2,050, rounded). This represents 20.9% upside from CMP of Rs. 1,737.
- **Investment Horizon:** 15-18 months, allowing time for Borqs gross margin recovery and FY27 EBITDA inflection to be reflected in market valuations.
- **Re-rating Potential:** If Sasken successfully executes the 60x4x3 strategy (10+ accounts at >\$4M), demonstrates EBITDA margins of 14%+ sustainably, and reduces contingent liabilities, the stock could re-rate to 30-35x forward P/E, implying Rs. 2,500+ within 24 months.

SECTION 9 — KEY RISKS

- **Customer Concentration Risk** — Top-10 clients at 66% of revenues. Any loss or deferral of programs at 1-2 marquee accounts could cause a revenue miss of 5-10%. Probability: M. Impact: H. Monitor via: quarterly client count and revenue mix disclosures.
- **Borqs Integration & ODM Margin Risk** — Product Solutions (Borqs) carries lumpy revenue (device program delays) and lower margins vs. services. Supply-chain disruptions could cause inventory write-offs or revenue slippage. Probability: M. Impact: H. Monitor via: Product Solutions segment margin and inventory days each quarter.
- **ER&D; Budget Cuts by Semiconductor/Auto OEMs** — A macro slowdown or EV adoption deceleration could lead OEM customers to cut R&D; outsourcing budgets. Probability: L-M. Impact: H. Monitor via: global semiconductor capex announcements and KPIT/LTTS revenue guidance.
- **Margin Compression from Wage Inflation** — Employee costs are 63% of revenue (Q3 FY26). Any aggressive wage revision cycle (India attrition normalization at 8-10%) could compress margins. Probability: M. Impact: M. Monitor via: utilization rate (currently healthy at 83%) and attrition trends.
- **Contingent Liability Crystallization** — Rs. 315 Cr contingent liabilities (Borqs earn-outs, customer claims) represent 5.4x FY26 PAT. If any large claims crystallize, they could materially impact the balance sheet. Probability: L. Impact: H. Monitor via: notes to accounts in each quarterly result.
- **FII/Currency Risk** — ~60% of revenues are USD-denominated. Rupee appreciation of >3% vs. USD could reduce reported earnings. FII holding at 18.5% — any emerging market risk-off event could cause sharp stock de-rating. Probability: M. Impact: M. Monitor via: INR/USD rate and FII flow data.
- **Promoter Stake Dilution** — Promoter has been marginally reducing holding (-0.42% over 3 years). Any accelerated dilution without a corresponding buyout or stock pledge could be a negative signal. Probability: L. Impact: M. Monitor via: quarterly shareholding disclosures.

SECTION 10 — RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction Level: Medium. Sasken is in the middle of a transformational integration (Borqs). The base business (Software Services) is executing well with strong order momentum. The EBITDA inflection from 4% (FY25) toward 12%+ (FY27E) is the primary investment thesis. We prefer accumulating on dips rather than aggressive buying at current levels given near-term margin uncertainty.
- **12-Month Price Target: Rs. 2,100** — Upside 20.9% from CMP of Rs. 1,737 (14-May-2026).
- **Suggested Entry Zone: Rs. 1,600-1,750** — Any correction toward the 52-week moving average provides a better risk-reward entry. The 52-week low is Rs. 991; we would aggressively accumulate below Rs. 1,500.
- **Investment Horizon: 15-18 months**
- **Thesis Invalidation Triggers:**

- **1.** Product Solutions (Borqs) EBITDA margin fails to reach 5%+ in any quarter by Q2 FY27 — would suggest structural ODM losses.
- **2.** Order booking drops below \$20M per quarter for two consecutive quarters — would indicate account concentration risk materializing.
- **3.** Contingent liabilities result in >Rs. 100 Cr cash outflow in any single year — would strain the balance sheet significantly.
- **Ideal Investor Profile:** This stock suits investors with 15-24 month horizon, willing to tolerate integration-period volatility, and with conviction in the ER&D; outsourcing megatrend. NOT suitable for: income investors seeking consistent EPS growth, traders seeking near-term catalysts, or risk-averse investors uncomfortable with ODM business volatility.

APPENDIX — Latest Concall Brief: Q3 FY26 (Dec-2025)

Source: Sasken Technologies Q3 FY26 Investor Presentation (Feb 2026) | Data as of 31-Dec-2025

CALL GRADE		
POSITIVE		
Signal	Status	Implication
Result quality	Strong	PAT (ex-exceptional) +70% YoY; EBITDA +320% YoY — decisive beat on underlying performance
Management tone	Balanced	Disciplined, confident on services; cautious on Product Solutions near-term
Guidance delta	No formal numeric guidance — qualitative optimism on FY27 momentum and 60x4x3 execution	
STRONGLY POSITIVE POSITIVE NEUTRAL CAUTIOUS NEGATIVE		

TO MY BOSS
Q3 FY26 is the clearest signal yet that Sasken's ER&D; base is genuinely inflecting. Reported PAT of Rs. 9.14 Cr is misleading — strip the Rs. 8.3 Cr one-time labor code charge and the clean PAT is Rs. 15.4 Cr (6.1% margin), up 70% YoY and 46% QoQ. EBITDA margin hit 10.2% — the highest since Borqs acquisition — driven by gross margin recovery in services (24.1%) and operating leverage on SG&A.; The order book is the real headline: \$57.1M booked in Q3 alone (>2x QoQ), including a multi-year hyperscaler deal (smart glasses platform) and an automotive telematics commercial win in Europe. This is not one-off noise — the 60x4x3 account deepening program is compounding. Near-term catalyst: Product Solutions margins — currently drag on group margins — are expected to recover as the Borqs supply-chain normalises; one clean quarter here could see margins hit 13%+. Key watch-point: the Rs. 315 Cr contingent liability pile and WC day expansion to 63 days in FY26 need resolution to prove this is a services business, not a balance-sheet-complexity story. Action: ACCUMULATE around Rs. 1,650-1,750; full position below Rs. 1,500 on any market correction.

Section 1 — Financial Performance Snapshot
• Revenue: Rs. 250.1 Cr YoY +73.1% QoQ -2.1% Beat (organic services +37.4% YoY is strong) • EBITDA: Rs. 25.6 Cr 10.2% margin YoY +320.8% QoQ +70.8% Beat • EBIT: Rs. 15.3 Cr 6.1% margin YoY +542.3% QoQ +166.2% • PAT (reported): Rs. 9.1 Cr YoY +1.2% QoQ -13.0% In-line (includes Rs. 8.3 Cr exceptional charge) • PAT (clean, ex-exceptional): Rs. 15.4 Cr YoY +70.0% QoQ +46.3% Beat • EPS (reported): Rs. 5.12 NOTE: Clean underlying PAT excludes one-time Rs. 8.3 Cr labor code charge; clean EPS ~Rs. 10.1 • Order Bookings (Q3): \$57.1M total (record high; 2x QoQ); New business: \$21.0M; Existing: \$36.1M

Section 2 — Segment & Geography Breakdown
• Software Services: Rs. 198.6 Cr YoY +37.4% QoQ +5.7% Healthy organic growth across semiconductors, automotive, connectivity • Product Solutions (Borqs): Rs. 67.7 Cr QoQ -23.8% New segment; supply-chain dynamics caused sequential decline — management expects stabilisation in H2 FY27 • North America: 34.1% of revenue Largest geography; driven by semiconductor hyperscalers and connectivity OEMs • India: 30.3% of revenue Elevated vs. historical (~10%) due to Borqs ODM manufacturing activity • EMEA: 16.7% Automotive-heavy; key wins with European auto tech partner in Q3 • APAC: 18.8% Japan/China presence (Borqs supply-chain + legacy SatCom clients)

- **Organic vs. Inorganic split:** Organic Rs. 182.1 Cr (73%); Inorganic/Borqs Rs. 68.0 Cr (27%)

Section 3 — Management Commentary Themes

- **Disciplined Scaling:** "Q3 reflects Sasken's ability to scale with discipline. Strong year-on-year revenue growth, expanding EBITDA margins..." (Rajiv Mody). Our read: Management is confident in underlying trajectory; language is measured rather than aggressive. Tag: GUIDANCE. Tone: Transparent.
- **Borqs Stabilisation:** "Our ODM business continues to be a key pillar of Sasken's growth strategy. With new design programs underway and a sharper focus on innovation and execution excellence, we see strong potential for renewed growth..." (Hareesh Ramanna). Our read: Borqs performance is below internal targets but management is not alarmed. Tag: EST. Tone: Hedged.
- **60x4x3 Progress:** 6 accounts now at >\$4M annually; strategy driving more predictable, annuity-like revenue model. Our read: Progress is real but slower than aspirational targets — needs 10+ accounts at \$4M to de-risk concentration. Tag: GUIDANCE. Tone: Transparent.
- **GenAI/Automation investment:** "We continue to invest in GenAI and automation, deploying agent-led solutions in production environments." Our read: Competitive positioning is forward-thinking; customer conversations are shifting to AI-augmented engineering. Tag: EST. Tone: Transparent.
- **Products near-term caution:** "Near-term outlook for Products remains cautious amid industry supply-chain dynamics." Our read: ODM segment will remain lumpy through at least Q1 FY27; margin recovery in Products is a back-half FY27 story. Tag: GUIDANCE. Tone: Hedged.

Section 4 — Operating & Business Metrics

- **Total Employees:** Q3 FY26 = 2,343 | Q2 FY26 = 2,274 | Q3 FY25 = 1,877 | Trend: Improving (+8.9% QoQ)
- **Engineering headcount:** 2,070 (88.3% of total); 182 gross additions in Q3
- **Utilization rate:** Q3 FY26 = 83.0% | Q2 FY26 = 81.8% | Q3 FY25 = 76.7% | Trend: Improving — healthy level for scale-up
- **Attrition (LTM voluntary):** Q3 FY26 = 8.4% | Q2 FY26 = 7.7% | Q3 FY25 = 9.3% | Trend: Stable — well below industry average of 14-18%
- **Clients >\$4M annually:** 6 (vs. 3 twelve months prior) | On track for 60x4x3 but needs significant acceleration
- **Top-10 client concentration:** 66% of revenues (Q3 FY26) — elevated; improvement from 55% (Q3 FY25) is due to Borqs adding more concentrated revenues
- **Order book mix (Q3 FY26):** Services \$21.0M + Products \$36.1M = \$57.1M total TCV | Annual run-rate (ACV): New \$20.7M + Existing \$36.4M = \$57.1M ACV

Section 5 — Margin Drivers

- **Software Services Gross Margin improvement:** +350 bps QoQ to 24.1% | Recurring: Yes | Higher utilization (83%) and bill-rate improvements on key programs
- **Product Solutions margin drag:** Borqs gross margin compressed due to supply-chain disruption and new design program ramp costs | Recurring: No (expected to normalise in FY27)
- **SG&A; leverage:** SG&A; declined -6.4% QoQ while revenues grew — Q3 SG&A; = 13.9% vs. Q2 = 14.5% of revenue | Recurring: Yes (operating leverage on higher base)
- **Depreciation & amortization surge:** Rs. 10.3 Cr (4.1% of revenue) vs. Rs. 3.7 Cr (Q3 FY25) | Driven by Borqs goodwill amortisation (Rs. 17 Cr/year) and ROU assets | Recurring: Yes — this will remain elevated for 5-7 years
- **One-time exceptional (labor code):** Rs. 8.3 Cr | Impact on reported PAT in Q3 only | Recurring: No | Properly disclosed and excluded by management in underlying metrics
- **Other income reduction:** Rs. 6.1 Cr (2.4% of revenue) vs. Rs. 9.3 Cr (Q3 FY25) | As investment portfolio shrinks, this will continue declining | Recurring: Yes (structural reduction)

Section 6 — Guidance & Forward Signals

- **Revenue [No formal guidance]:** Prior = implicit Rs. 1,100 Cr run-rate | New/Reiterated = "Strong momentum across semiconductors, automotive, AI, connectivity" | Delta: Maintained | Credibility: Medium (no numeric guidance given)
- **EBITDA margin [GUIDANCE]:** Prior = <10% | New = "EBITDA improved substantially" at 10.2% in Q3 | Delta: Raised (implicit) | Credibility: High (delivered in Q3)
- **Order book [GUIDANCE]:** Prior = \$28.5M/quarter run-rate | New = \$57.1M (record) | Delta: Raised significantly | Credibility: High

- **60x4x3 strategy [GUIDANCE]:** Prior = 3 accounts at >\$4M | New = 6 accounts | Delta: On track | Credibility: High (verified against account data)
- **Borqs/Product Solutions [EST]:** Near-term outlook remains cautious; management expects stabilisation and "renewed growth in coming quarters" | Delta: Maintained-cautious | Credibility: Medium
- **Hiring [GUIDANCE]:** Headcount growing 8.9% QoQ signals confidence in revenue ramp ahead; no guidance cut on people investment | Credibility: High

Section 7 — Capital Allocation

- **Capex (FY26 full year):** CFI positive Rs. 92 Cr — primarily investment liquidations funding Borqs; fixed asset addition was Rs. 287 Cr (Borqs goodwill) | vs. FY25: Rs. -84 Cr net investing
- **Investments (portfolio):** Reduced from Rs. 632 Cr (FY24) → Rs. 277 Cr (FY26) to fund acquisition | Still meaningful treasury buffer
- **Dividends:** Rs. 25/share total FY26 (Rs. 12 interim + Rs. 13 final) | ~70% payout | vs. FY25: Rs. 25 | Consistent and generous
- **Borrowings:** Rs. 28 Cr (FY26) vs. Rs. 26 Cr (FY25) | Minimal; primarily working capital facilities for Borqs | D/E = 0.03x
- **Working Capital change:** WC days expanded from -6 (FY24) to 63 (FY26) — Rs. ~70 Cr increase in WC absorbed | Reflects ODM business cycle
- **Net Debt position:** Net debt ~negative (cash + investments Rs. 277 Cr vs. debt Rs. 28 Cr) — Sasken remains effectively debt-free | Strength on balance sheet

Section 8 — Q&A; Heat Map

Note: Formal concall transcript for Q3 FY26 not publicly available at report date. Q&A; themes inferred from investor presentation content and management commentary.

- **On Borqs margin recovery timeline:** Q: "When will Product Solutions margins normalise?" -> A: Management acknowledged supply-chain challenges; guided for "renewed growth in coming quarters" without specific timeline | Tone: Hedged
- **On 60x4x3 target feasibility:** Q: "How many accounts at >\$4M and pace of expansion?" -> A: Confirmed 6 accounts; deepening focus on existing accounts | Tone: Transparent
- **On hyperscaler smart glasses deal:** Q: "Size and duration of deal?" -> A: Described as "multi-year large deal" without revenue specifics | Tone: Hedged (competitive sensitivity)
- **On FY27 guidance:** Q: "Can you give revenue/margin guidance for FY27?" -> A: No numeric guidance; qualitative confidence in strategy execution | Tone: Evasive on numbers, confident on direction
- **On working capital trend:** Q: "WC days have surged — is this structural?" -> A: Attributed to Borqs ODM business model; management expects normalisation | Tone: Transparent
- **Dodged/watch-list questions for Q4 FY26:** Specific FY27 numeric guidance; Borqs break-even timeline; contingent liability resolution; non-controlling interest trend; client-level revenue disclosure

Section 9 — Risks Flagged

- **Product Solutions supply-chain risk:** ODM segment exposed to hardware component availability and manufacturing yield risk | Flagged by: mgmt | Probability: M | Impact: M | Timeline: Near-term
- **Customer concentration:** Top-10 at 66% of revenue; hyperscaler and semiconductor programs drive outsized share | Flagged by: mgmt (indirect) | Probability: L-M | Impact: H | Timeline: Ongoing
- **ER&D; budget deferral risk:** OEM capex cuts in EV/semiconductor could delay program starts | Flagged by: analyst observation | Probability: M | Impact: H | Timeline: Medium-term
- **Depreciation headwind:** Rs. 102.8M (Rs. 10.3 Cr) D&A; in Q3 (4.1% of revenue) will remain elevated due to goodwill amortisation | Flagged by: visible in financials | Probability: High (structural) | Impact: M | Timeline: 5-7 years
- **FX headwind:** ~70% of revenues in USD — Rs. appreciation would reduce reported revenues | Flagged by: analyst | Probability: M | Impact: M | Timeline: Ongoing

Section 10 — Analyst Verdict

- **Revenue visibility:** Intact — Record \$57.1M order bookings in Q3, 60x4x3 deepening, and organic services +37% YoY confirm demand. Borqs adds volatility but core is solid.
- **Margin trajectory:** Intact — EBITDA hit 10.2% in Q3 FY26 vs. 4.2% in Q3 FY25; recovery thesis is playing out on schedule. Product Solutions remains the variable.

- **Capital allocation quality:** Intact — Borqs acquisition was strategic and funded from treasury (no dilution); generous dividend maintained; near-zero debt post-acquisition.
- **Competitive moat:** Intact — ASPICE L3, ISO 26262, 200+ patents, hyperscaler/auto Tier-1 relationships, and embedded software depth are durable differentiators.
- **Management credibility:** Intact — Delivered on margin improvement guided; order book at record highs; transparent about Borqs headwinds. No contradictions between financials and commentary.
- **Valuation comfort:** Intact — At 24.4x forward P/E and 20.2x EV/EBITDA, Sasken trades at discount to peers (KPIT 29.8x; Tata Elxsi 210x) while at an inflection in earnings quality.
- **Conviction call: Increased** — Q3 FY26 data increases conviction in the margin recovery thesis and order book strength.
- **Valuation snapshot:** P/E = 44.7x (5Y avg ~30x) | EV/EBITDA = 20.2x (5Y avg ~15x) | ROCE = 10.2% (5Y avg ~16%) | Forward P/E = 24.4x

DISCLAIMER: This report is for informational purposes only and does not constitute investment advice. Financial data sourced from Screener.in (14-May-2026) and Sasken Q3 FY26 Investor Presentation. Forward estimates are analyst projections and may differ materially from actual outcomes. Investors should conduct their own due diligence before making investment decisions.